ISSUER REVIEW · 6M2026

Hepsor

WATCH

Estonia · Residential and commercial real estate developer (Estonia, Latvia)

Watch. Hepsor posted a EUR 2.2m loss in 1H because few homes were handed over (23 vs 102)[1]. The equity ratio fell to 23.1%, while the bond covenant requires at least 20%[2,3]. Sales contracts are rising (129 homes, +36%, own calculation), and revenue should follow as projects complete[4].

REVENUE · 6M2026	NET PROFIT · 6M2026
6.2 EUR m	-2.21 EUR m
▼ 71.9 % vs 6M2025	▼ 889.3 % vs 6M2025
EQUITY RATIO · 6M2026	**NET DEBT · 6M2026**
23.1 %	56.2 EUR m
▼ 3.7 p. p. vs 6M2025	▲ 38.4 % vs 6M2025

Quick summary

- **Loss due to the cycle:** 1H revenue EUR 6.2m (22.1m), EBITDA EUR -0.9m, net loss EUR 2.2m (profit 0.3m); revenue is recognised only on handover[5].
- **Sales rising:** 129 first-time home sales contracts for EUR 25.7m (95 and 18.5m a year earlier); 513 homes under construction[4,6].
- **Debt rising:** interest-bearing loans EUR 58.7m (47.7m at end-2025); net debt about EUR 56.2m (own calculation); cash EUR 2.5m[7].
- **New bonds:** EUR 5m of 9.5% bonds (2029) issued in September 2026, 2.4x oversubscribed[3].

Key facts

ISSUER RATING
nerasta (no credit rating found)

ANALYSIS DATE
2026-10-22

NEXT REPORT
Q3 2026 interim report - expected late October / November 2026

COUNTRY
Estonia

Securities held

Hepsor AS ordinary share (HPR1T)
EE3100082306 · share

01 Instruments held and ISINs

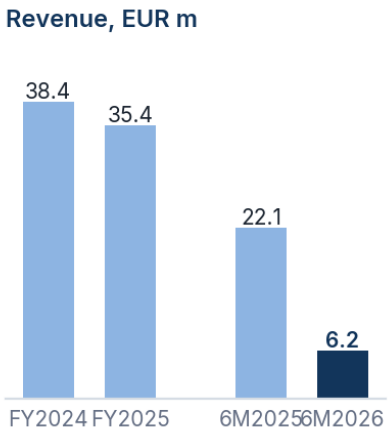
ISIN	INSTRUMENT	COUPON	MATURITY	ISSUE RATING	NOTE
EE3100082306	Hepsor AS ordinary share (HPR1T)	–	share		Added from the ISIN list 2026-10-22; terms from the Nasdaq Baltic list

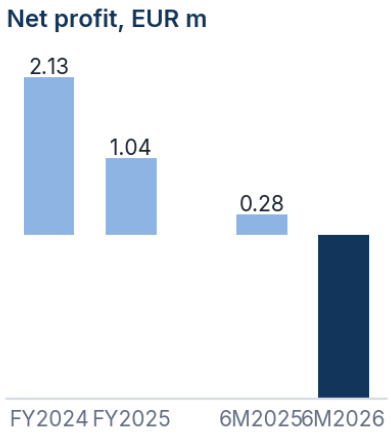
02 Key ratios

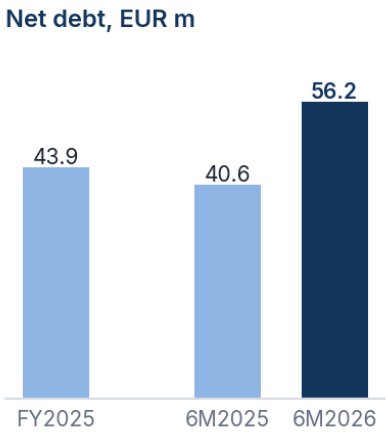
METRIC	FY2024	FY2025	6M2025	6M2026	CHANGE
Revenue, EUR m[8,2]	38.4*	35.4*	22.1*	6.2*	▼ 71.9 % vs 6M2025
EBITDA, EUR m[8,2]	4.54*	3.46*	1.46*	-0.92*	▼ 163.0 % vs 6M2025
Net profit, EUR m[8,2]	2.13*	1.04*	0.28*	-2.21*	▼ 2.49 EURm vs 6M2025
Total assets, EUR m[8,2]	88.8*	91.8*	76.7*	103.7*	▲ 35.2 % vs 6M2025
Equity, EUR m[2]	–	27.1*	20.6*	23.9*	▲ 16.0 % vs 6M2025
Equity ratio[8,2]	24.8%*	29.5%*	26.8%*	23.1%*	▼ 3.7 p. p. vs 6M2025
Net debt, EUR m[9]	–	43.9ᶜ	40.6ᶜ	56.2ᶜ	▲ 38.4 % vs 6M2025

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).







03 Business performance review

- **Residential and commercial developer in Estonia and Latvia:** 29 projects, about 195,000 sq m of sellable area, sales potential EUR 542m[10].
- **Next completions:** Manufaktuuri 12 in Tallinn (49 homes, handovers from Q3, 27 sold), Dzelzavas 74C in Riga (103 homes, Q4, 42 sold)[11].

04 Financials

- FY2025 revenue EUR 35.4m (38.4m), profit EUR 1.0m (2.1m), equity ratio 29.5% (24.8%)[8].
- Adjusted equity ratio (with subordinated shareholder loans) 37.9%; EUR 1.06m of dividends paid in 1H[12].

05 Past plans vs outcomes

PLAN / TARGET	OUTCOME	WHAT CHANGED AND WHY	STATUS
Start handing over Manufaktuuri 12 homes from Q3 2026	Awaiting the Q3 report[11]	Per plan[11].	**In progress**
Launch another 119 homes by year-end	New plan[6]	New[6].	**In progress**

06 Investor information & conclusions

- **Instrument held:** Hepsor AS share (HPR1T, Nasdaq Tallinn); 3,912,522 shares[13]. Market price and dividend policy not found.
- **Debt covenants:** the bonds (EUR 8m 2028 and EUR 5m 2029, both 9.5%) require an equity ratio ≥20% – currently 23.1%[14,3,2].
- **Conclusion:** elevated risk for shareholders – a loss-making half and a thin capital buffer; results should improve as homes are handed over.

07 Market and environment

- **Few completed units to sell:** H1 revenue EUR 6.2m (22.1m) due to a small carry-over of completed unsold apartments – 23 homes handed over (102)[4]; gross margin 6.7% (13.0%), net loss EUR 2.2m[15].
- **Market:** rising construction costs and dearer borrowing with flat rents hurt commercial projects; housing demand is growing strongly, so the Veidema quarter in Riga is being switched to residential[11].
- **Outlook:** 513 homes under construction (255 a year earlier), a basis for future revenue; first-time sales of 129 homes for EUR 25.7m[4].

	NOW	3 MONTHS AGO	12 MONTHS AGO	12-MONTH CHANGE
ECB deposit facility rate	2.50% (2026-09)	2.25%	–	–
3-month Euribor	2.64% (2026-09)	2.34%	2.03%	▲ 0.61 p. p.
6-month Euribor	2.92% (2026-09)	2.60%	2.10%	▲ 0.82 p. p.
12-month Euribor	3.25% (2026-09)	2.80%	2.17%	▲ 1.08 p. p.
Euro area AAA government 10-year yield	3.37% (2026-10)	3.23%	2.72%	▲ 0.65 p. p.
Euro area inflation (HICP, annual)	1.90% (2025-12)	2.20%	2.40%	▼ 0.50 p. p.

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

08 In the press

No news about the issuer found in this period.

09 ESG report

EXCLUSIONARY SCREENING (COMPANIES)

✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
- Real estate development
- No activity in excluded sectors[16].

✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
- No UN Global Compact or OECD related controversies found.

✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
- Not found on the EU, UN, US OFAC consolidated sanctions lists (automatic check 2026-10-27).

Manual check
- OFAC sanctions search[17]
- EU Sanctions Map[18]
- SEB eNameChecker (internal SEB system).

✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
- No adverse news found (2026-10-22).
- News summary 2026-07-29 – 2026-10-27: 0 articles, 0 with an adverse keyword in the headline (details in the section "In the press").

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
- The company says it uses innovative engineering solutions that make its buildings more energy-efficient[16].

– **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
- No climate targets or sustainability report found.

✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
- No yellow flags found.

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

Applicable
- The Real Estate and Construction policy[19].

Met
- Energy-efficient new buildings in the EU[16].

Could be improved
- No sustainability report or transition plan found.

Additional comments:

ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**
- No need: a small developer with no ESG risks found.

Additional comments:

INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- New buildings are built energy-efficient[16].

Additional comments:

Conclusion: No exclusions or red flags. No sustainability report.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Real Estate and Construction sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

10 Sources

1. Hepsor - Consolidated unaudited interim report Q2 2026, p. 6, 20, 2026-07-28
2. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 2026-07-28
3. Hepsor - Bonds 2026 (Series II), 2026-09-07
4. Hepsor - Consolidated unaudited interim report Q2 2026, p. 6, 2026-07-28
5. Hepsor - Consolidated unaudited interim report Q2 2026, p. 4, 20, 2026-07-28
6. Hepsor - News: record construction volumes and 9.5% bonds, 2026-08-24
7. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 23, 2026-07-28
8. Hepsor - Key financials (investor web page), 2026-10-22
9. Hepsor - Consolidated unaudited interim report Q2 2026, p. 29, 2026-07-28
10. Hepsor - Consolidated unaudited interim report Q2 2026, p. 8, 13, 2026-07-28
11. Hepsor - Consolidated unaudited interim report Q2 2026, p. 7, 2026-07-28
12. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 22, 2026-07-28
13. Hepsor - Consolidated unaudited interim report Q2 2026, p. 26, 2026-07-28
14. Hepsor - 9.5% bond 2025-2028, 2026-10-22
15. Hepsor - Consolidated unaudited interim report Q2 2026, p. 21, 22, 2026-07-28
16. Hepsor - Consolidated unaudited interim report Q2 2026, p. 4, 2026-07-28
17. OFAC Sanctions List Search (US Treasury)
18. EU Sanctions Map
19. SEB Real Estate and Construction sector policy (2026-04-23), p. 6-10, 2026-04-23

Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.